

ICT Mastery Study Guide

Liquidity, time, daily bias, PO3 and MMXM:
a step-by-step manual with diagrams, drills and checklists



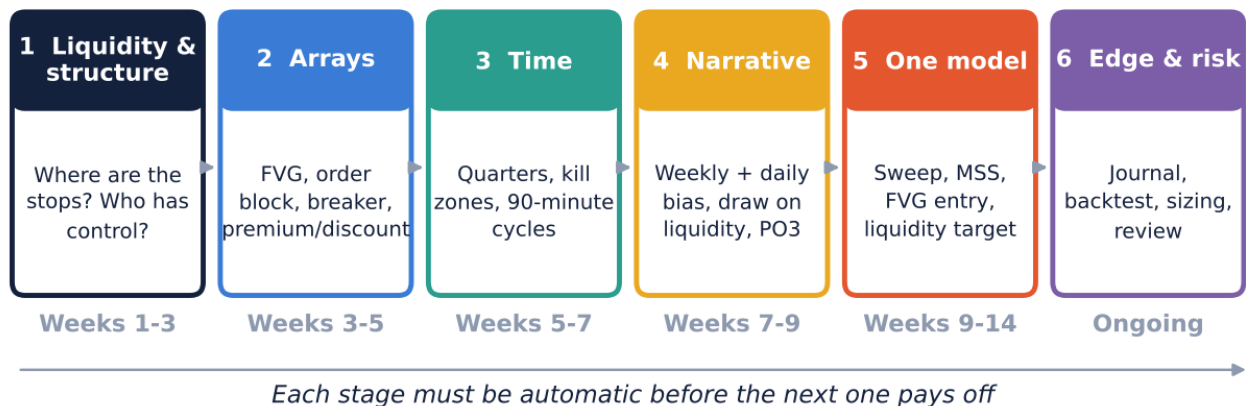
October 2026 edition. Educational material only. Not financial advice.
All charts are hand-drawn schematics, not real market data.

Read this first

How to use this guide and what ICT really is

ICT (Inner Circle Trader) is a framework for reading price built around one idea: markets move toward **liquidity** (clusters of resting orders) and are shaped by **time** (when in the day, week and year that movement tends to happen). Everything in this guide, from fair value gaps to MMXM, is a different way of answering three questions:

- **Where is the liquidity?** Which pools of stops are price drawn toward?
- **When is it likely to be taken?** Which session, day or cycle phase are we in?
- **What will price do after it is taken?** Reverse, or continue, and how will I know?



The six stages of this guide. Do them in order and do not skip the practice drills.

Honest ground rules

- ICT is a **set of hypotheses**, not a proven system. Some ideas (liquidity sweeps, session behaviour) have decent support. Others are unfalsifiable when taught as a narrative. **You must test each rule on your own data.**
- Most retail traders lose money, whatever method they use. Realistic time to consistency is 1 to 3 years, and many never get there.
- Perfect-looking ICT charts are made with **hindsight**. A rule only counts if you can state it before the move happens.
- Teachers disagree on exact times, definitions and levels. Pick one version, write it down, and stay consistent.
- Never trade real money you cannot afford to lose. This guide is education, not financial advice.

How to study with this guide

- Read one chapter, then do its **drills** in replay mode (TradingView bar replay or similar). Reading alone teaches almost nothing.
- Answer the **self-test** at the end of each chapter before you check the answers in Appendix C.

- Keep a **journal** from day one (template in Chapter 9). Screenshot every setup, including the ones you skip.
- Specialise: **one market** (for example NQ or EURUSD), **one model**, one session. Breadth comes later.
- Mark each chapter done only when you can explain it to a beginner using rules and examples, not feelings.

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1 Liquidity and market structure

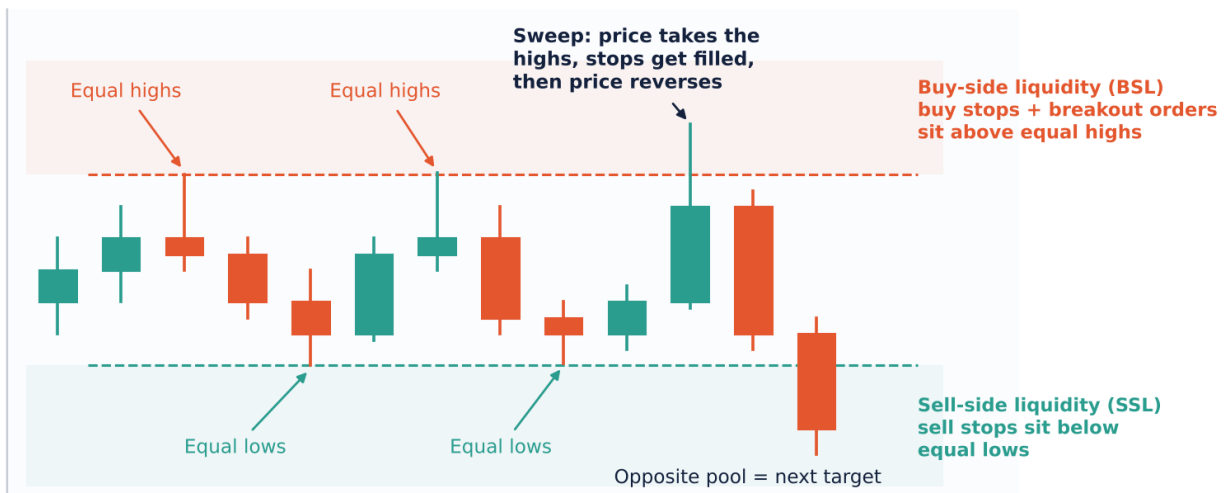
Where the stops are, and who is in control

1.1 What liquidity is

Liquidity is simply **resting orders**. Stop losses of traders who are long sit below recent lows. Stop losses of traders who are short, plus breakout buy orders, sit above recent highs. Large participants need counterparties to fill big orders, and those clusters of orders are where counterparties are plentiful. That is why price so often pushes through an obvious high or low, and then reverses.

Type	Where it sits	Why it matters
Buy-side liquidity (BSL)	Above highs: equal highs, previous day/week highs, old swing highs	Buy stops and breakout orders. Taking it fuels sells (or confirms a real breakout).
Sell-side liquidity (SSL)	Below lows: equal lows, previous day/week lows, old swing lows	Sell stops and breakdown orders. Taking it fuels buys (or confirms a breakdown).
Equal highs / lows	Two or more swing points at almost the same price	The cleanest, most obvious pools. Retail traders put stops right behind them.
PDH / PDL, PWH / PWL	Previous day and previous week high / low	Reference levels used for daily and weekly bias and as targets.
Session highs / lows	Asia range, London range, NY range	Intraday targets and the usual place for the manipulation leg.

Liquidity: price is drawn to where stops cluster



Illustrative schematic. Equal highs and lows attract stops. A sweep takes one side, then the other side often becomes the target.

Sweep versus real breakout

A **sweep** (stop run) pokes beyond a level, fills the orders, and closes back inside the range quickly. A **real breakout** closes beyond the level with displacement and holds. You cannot know in advance. This is why you wait for confirmation (a market structure shift, Section 1.3) rather than fading every sweep.

1.2 Swing structure

A **swing high** is a candle high with a lower high on both sides. A **swing low** is the mirror. Uptrend structure is a chain of higher highs (HH) and higher lows (HL). Downtrend structure is lower highs (LH) and lower lows (LL). Structure tells you who is in control and which pullbacks to trade.

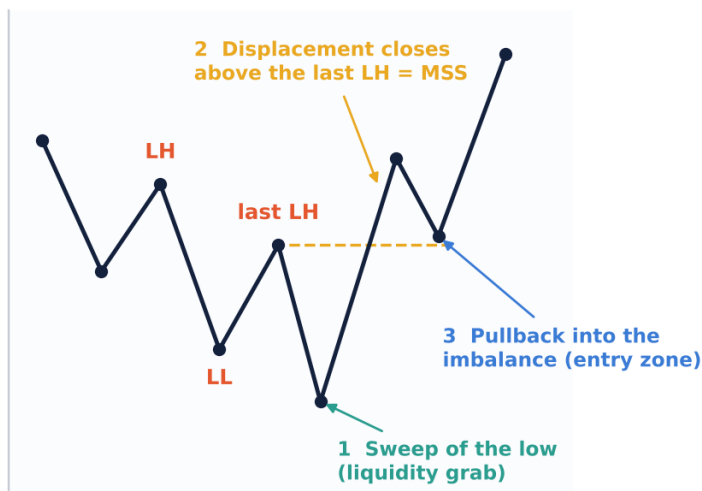
1.3 Market structure shift (MSS) and displacement

Displacement is a strong, fast, one-directional move: large candles with little overlap, often leaving imbalances (FVGs). A **market structure shift** is a displacement that closes beyond the most recent opposing swing point (for example, closing above the last lower high in a downtrend). A plain break of structure (BOS) in the trend direction is continuation. An MSS against the prior trend is the first sign of a possible reversal.

Bullish structure: HH + HL



Market structure shift (MSS)



Left: bullish structure. Right: a bullish MSS after a sweep of the lows.

Rules of thumb

- A sweep with no displacement afterwards is just noise. Displacement is the evidence.
- Mark liquidity on the **higher timeframe first** (daily, 4-hour), then drop down. Lower-timeframe levels inside a higher-timeframe level are weaker.
- The more obvious a level looks, the more orders sit behind it, and the more likely it gets taken.
- Wick versus body: decide one rule (for example, a sweep is a wick beyond the level with a close back inside) and keep it.

Drills (replay mode)

- Pick 20 random days. Mark every equal high/low, PDH/PDL and session high/low **before** revealing the day. Count how many got swept.
- On 50 swing sequences, label HH, HL, LH, LL and mark each MSS. Check yourself against a second pass a day later.
- Find 30 sweeps. For each, record: did displacement follow within 5 candles? How often did price reach the opposite pool?

Self-test

- Q1.1 Why do stops cluster just beyond equal highs and lows?
- Q1.2 What is the difference between a BOS and an MSS?
- Q1.3 A candle takes the previous day high by 3 pips and closes back below it. Sweep or breakout? What would you wait for?

2 Price arrays

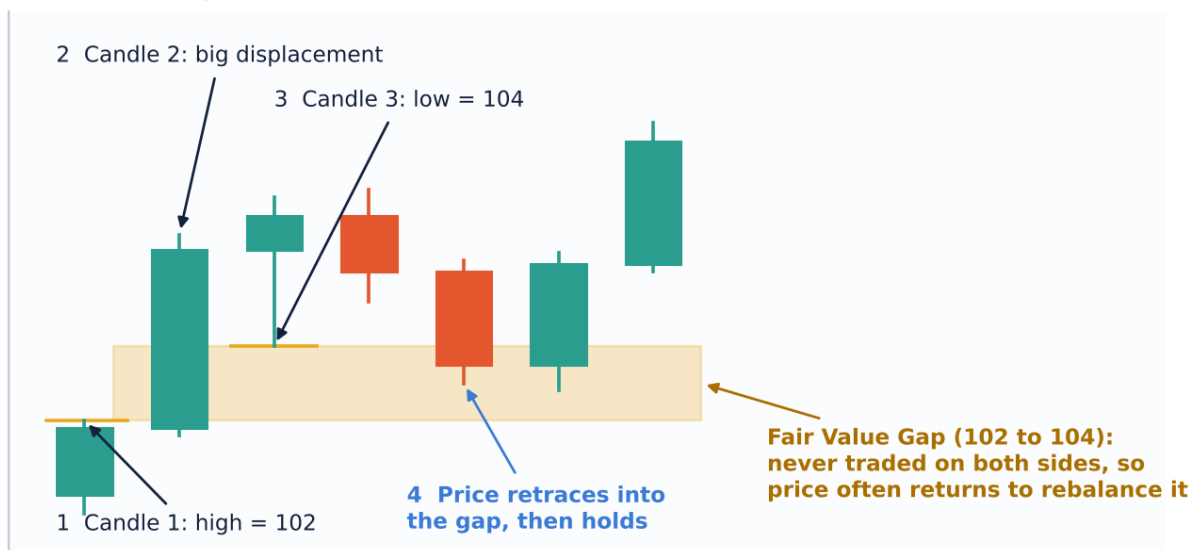
FVG, order blocks, breakers, premium and discount

Price arrays are reference points where price may react. They are **secondary** to liquidity and structure: an FVG with no liquidity target and no bias is just a gap.

2.1 Fair Value Gap (FVG)

A bullish FVG is a three-candle pattern where the **high of candle 1** is below the **low of candle 3**. The space between them was not traded on both sides during the move, so price often returns to fill part of it. A bearish FVG is the mirror.

Fair Value Gap (bullish): a three-candle imbalance



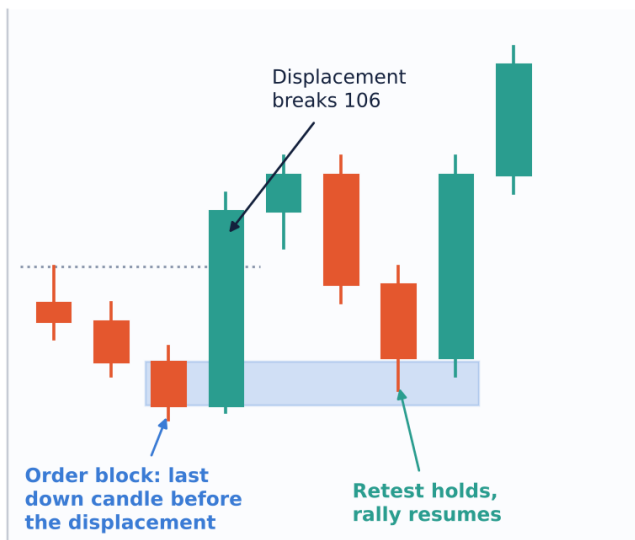
Illustrative schematic of a bullish FVG and a retrace into it.

- **Use:** an entry zone after displacement (buy the retrace into a bullish FVG when bias is up).
- **Quality:** FVGs created by a strong displacement through a liquidity sweep matter more than random small gaps.
- **Levels inside the gap:** the 50% point (consequent encroachment) is a common reaction level.
- **Invalidation:** a candle body that closes fully through the gap against your direction. Plan the stop beyond the swing that created it.

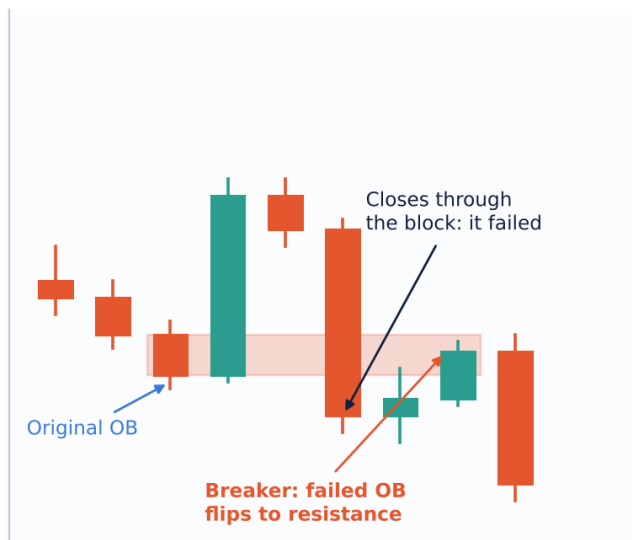
2.2 Order block (OB) and breaker

A bullish **order block** is commonly defined as the last down-closing candle before a strong up-move that breaks structure. Teachers differ on whether the zone is the full range or the body, and whether the 50% mean threshold is the key level. A **breaker** is an order block that failed: price closes through it, then returns to the other side, where it often acts as resistance (for a failed bullish OB) or support (for a failed bearish OB).

Bullish order block



Breaker block (failed OB)

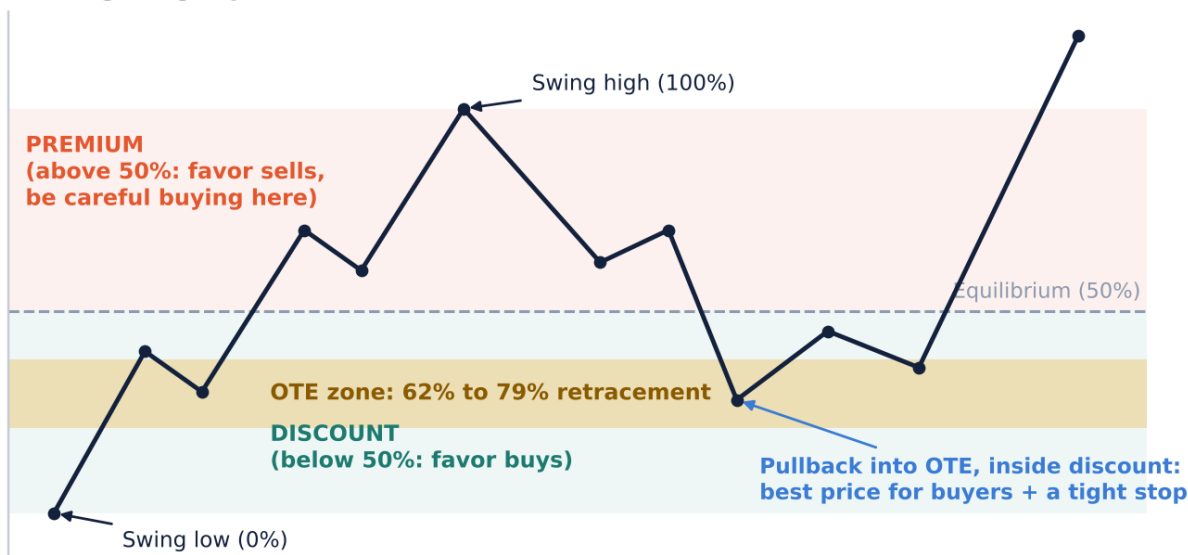


Left: a bullish OB that holds on retest. Right: the same OB failing and flipping into a breaker.

2.3 Premium, discount and the OTE zone

Take a dealing range (swing low to swing high). The midpoint is **equilibrium**. Above it is **premium** (expensive); below it is **discount** (cheap). The goal is to buy in discount and sell in premium, in line with the bias. The **Optimal Trade Entry (OTE)** zone is the 62% to 79% retracement of a displacement leg (70.5% is the commonly cited midpoint).

Dealing range: premium, discount and the OTE zone



Illustrative schematic. Buying a pullback inside discount and the OTE zone gives a better price and a tighter stop.

Array	What it is	How to use it	Common mistake
FVG	Three-candle imbalance	Entry zone after displacement; also a target when price is far from it	Trading every small gap with no bias or liquidity target
Order block	Last opposite candle before displacement	Reaction zone on retest; stop beyond the block	Marking dozens per chart and trading none systematically
Breaker	Failed order block that flips role	Entry on retest from the other side after a structure break	Calling any broken zone a breaker without an MSS
Premium / discount	Upper / lower half of the dealing range	Filter: buy in discount, sell in premium	Buying in premium because the trend feels strong
OTE	62% to 79% retracement	Refines entry inside discount or premium	Using it without displacement and a clear leg to measure

Self-test

- Q2.1 Draw a bullish FVG using candle highs and lows. Which two prices define the gap?
- Q2.2 When does an order block become a breaker?
- Q2.3 Price retraces to 25% of a range after a bullish leg from 0% to 100% (0% is the low). Is that premium or discount? Is it inside the OTE zone?

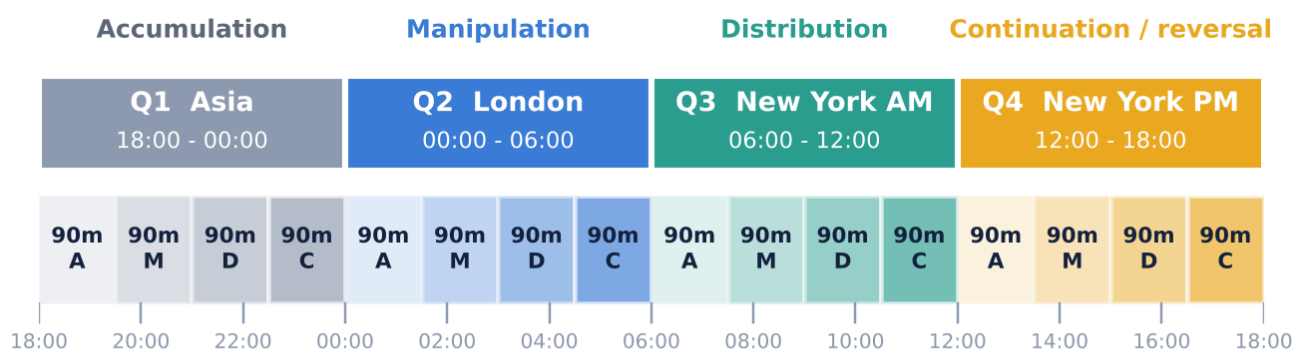
3 Time: quarters, kill zones and cycles

When in the day, week and year price tends to do what

Time is the second pillar. The claim is that the same **four-phase cycle** repeats at every scale, and that certain windows of the day see most of the meaningful price delivery. Treat these as hypotheses and measure them.

3.1 Quarterly theory

Quarterly theory (popularised by the trader known as Daye, building on ICT's time concepts) splits any cycle into four quarters with fixed roles: **Q1 accumulation, Q2 manipulation, Q3 distribution, Q4 continuation or reversal**. A year, a month, a week, a day and a session each contain these four phases, nested inside each other.



New York time. The 'day' starts at 18:00 (futures session open). Some teachers start Asia at 20:00 instead.

Inside each 6-hour quarter the same four roles repeat in 90-minute blocks:

A = accumulation, M = manipulation, D = distribution, C = continuation / reversal.

Same logic at every scale: year, month, week, day, session.

One trading day split into four 6-hour quarters, each split into four 90-minute blocks (New York time).

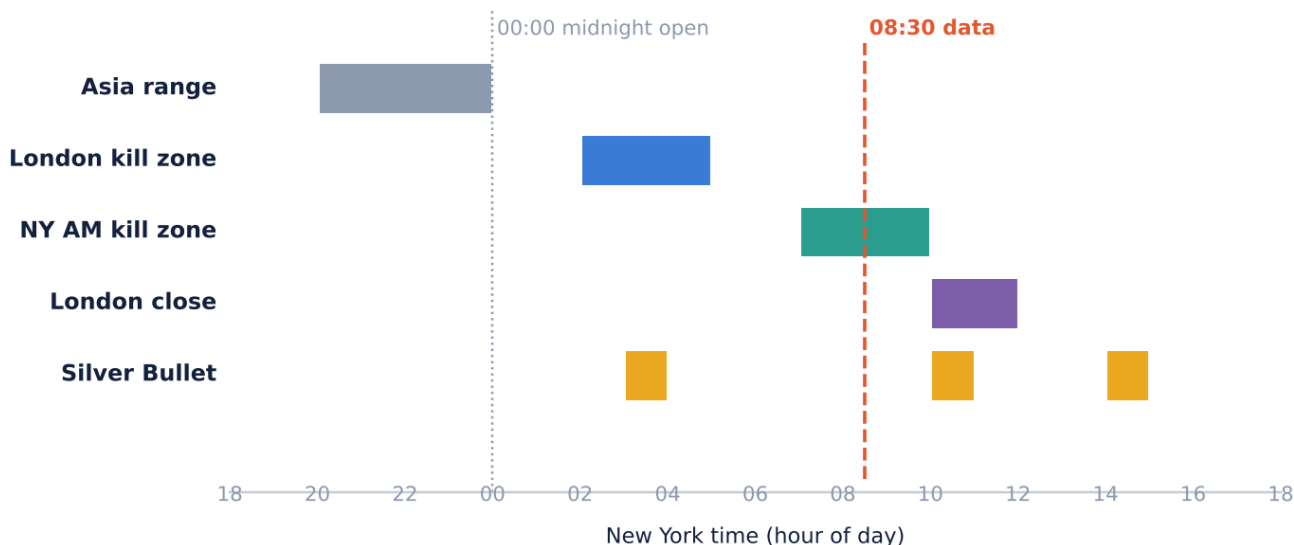
Cycle	Q1 Accumulation	Q2 Manipulation	Q3 Distribution	Q4 Continue / reverse
Year	Jan - Mar	Apr - Jun	Jul - Sep	Oct - Dec
Month	Week 1	Week 2	Week 3	Week 4
Week	Monday	Tuesday	Wednesday	Thursday - Friday
Day (NY)	18:00 - 00:00 (Asia)	00:00 - 06:00 (London)	06:00 - 12:00 (NY AM)	12:00 - 18:00 (NY PM)
Session	First 90 minutes	Second 90 minutes	Third 90 minutes	Fourth 90 minutes

Variants exist (some start the trading day at 20:00 or 00:00, some split weeks differently). Choose one convention and test it.

3.2 Kill zones and macro windows

ICT teaches that most intraday delivery happens inside specific windows (all times New York):

Commonly taught windows (verify them on your own data)



Commonly taught windows. Verify them on your own market and data before relying on them.

Window	Time (NY)	Typical role
Asia range	20:00 - 00:00	Builds the range whose high and low become targets for the sweep.
London kill zone	02:00 - 05:00	Often sets the high or low of the day (the manipulation leg).
NY AM kill zone	07:00 - 10:00	Includes the 08:30 data release. Common expansion window.
London close	10:00 - 12:00	Retracements and reversals as London traders close out.
Silver Bullet	03:00-04:00, 10:00-11:00, 14:00-15:00	One-hour windows for a single FVG-entry model toward nearest liquidity.

3.3 Key reference opens

- **Midnight (00:00 NY) open:** reference for the daily range. Buy below it on bullish days; sell above it on bearish days.
- **08:30 open:** the data-release open, used the same way for the NY session.
- **Weekly and monthly opens:** the same idea at larger scale; premium and discount relative to the open.

Test it, do not trust it

Export 1-hour data for your market and measure, over at least 200 days, how often the daily high or low forms in the London window versus the NY window. Some of these time claims are real on some markets and false on others. Keep what your data supports.

Self-test

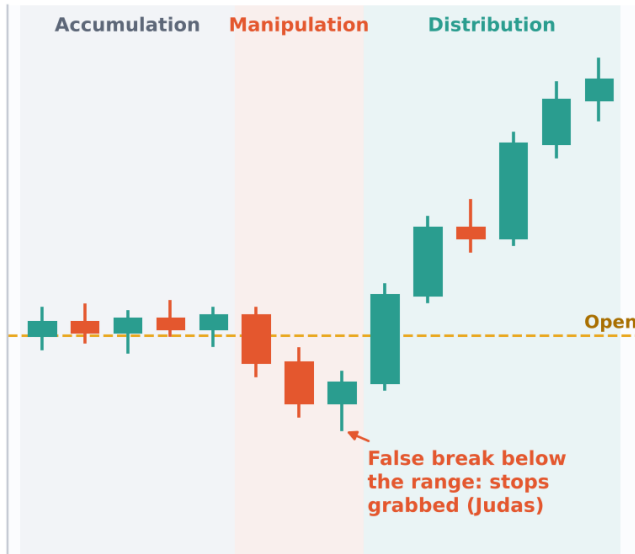
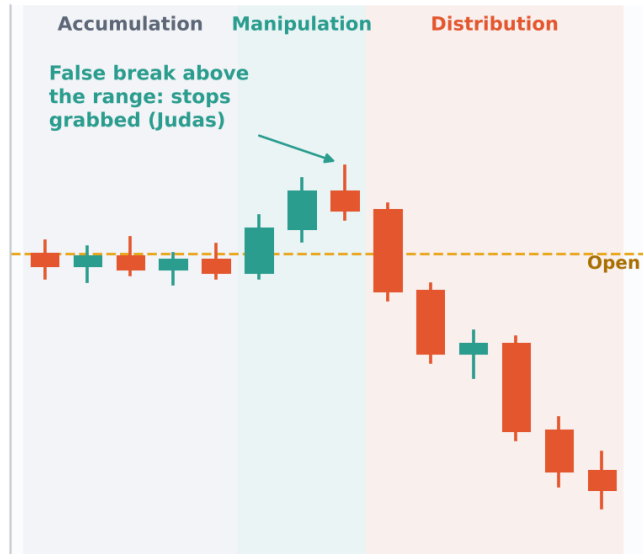
- Q3.1 What are the four quarterly roles, and which one is the false move against the real direction?
- Q3.2 Name the three Silver Bullet windows in New York time.
- Q3.3 Why is 'London sets the high or low of the day' a hypothesis rather than a rule?

4 PO3 / AMD: Power of Three

Accumulation, manipulation, distribution

PO3 describes how a candle, a session, or a whole move unfolds in three phases. It is the quarterly idea applied to a single leg.

Phase	What price does	Who it traps
Accumulation	Opens and consolidates in a range. Orders build on both sides.	Nobody yet: this is where stops are positioned.
Manipulation	A false move away from the true direction, sweeping a level (the Judas swing at the session open).	Breakout traders and those who entered on the first move.
Distribution	The real expansion in the intended direction toward the target liquidity.	Late entrants on the wrong side.

Bullish PO3 / AMD**Bearish PO3 / AMD**

Illustrative schematic. In a bullish day the false move is down, below the range or open, before the real move up.

How to use PO3 live

- **Decide the higher-timeframe bias first.** Without it, you cannot tell manipulation from the start of the real move.
- **Mark the accumulation range** (for example the Asia range) and the open.
- **Wait for the sweep** of one side of the range, against your bias, in a kill zone.

- **Require displacement back** through the range (an MSS) before you commit. Then use an FVG, order block or OTE as the entry.
- **Target** the opposite side of the range, then the next higher-timeframe pool.

Weekly profile (commonly taught)

Many ICT students treat the week as a PO3 too: Monday and Tuesday accumulate and manipulate, Wednesday and Thursday deliver the main expansion, and Friday often retraces or consolidates. The weekly high or low is said to form early in the week. This is a tendency, not a law. Count how often it holds on your market.

Common PO3 failures

- Calling every move away from the open 'manipulation'. If price keeps going, it was the real move.
- Taking the sweep itself as the entry. The entry is after displacement confirms the reversal.
- Ignoring news: a scheduled release can cause a violent false move that looks like manipulation and is not.
- Seeing PO3 on every chart after the fact. Count only the ones you identified before the move.

Drills

- On 100 past days, mark the Asia range and the midnight open. Record: which side was swept first, and did the day then close on the other side?
- Split the results by higher-timeframe bias (with bias vs against). If sweeps against bias reverse far more often, that is your edge. If not, drop the idea.

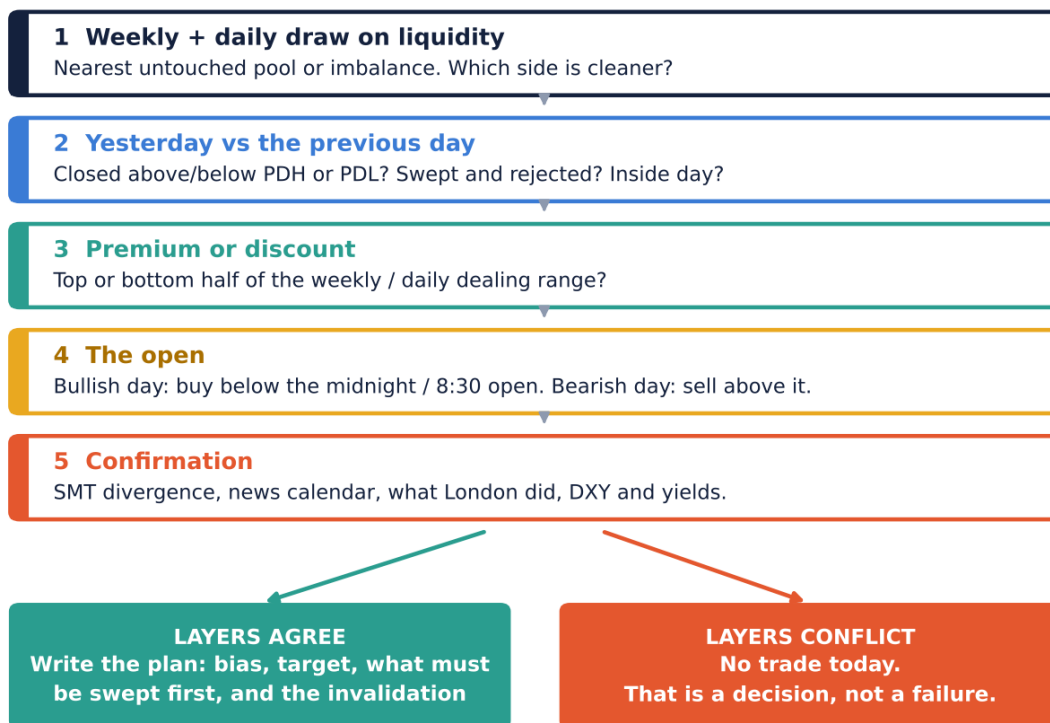
Self-test

- Q4.1 In a bullish PO3, which direction is the manipulation leg?
- Q4.2 Why does PO3 need a higher-timeframe bias to be useful?
- Q4.3 What evidence confirms that a sweep was manipulation and not the real move?

5 Daily bias and top-down analysis

Direction and target before you ever look for an entry

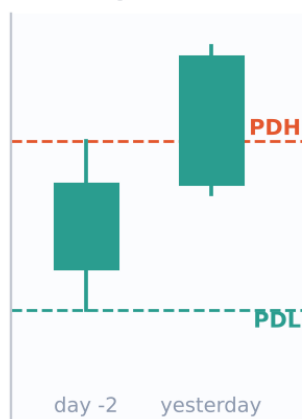
Bias is a direction plus a **draw on liquidity** (the level price is likely heading toward). Without a draw, you are guessing. Build it top-down: weekly, then daily, then the session.



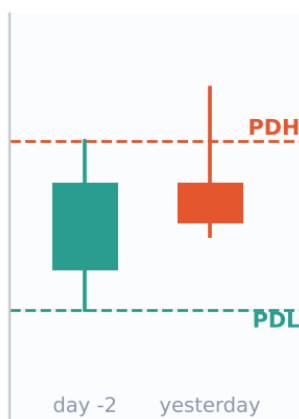
The five-step daily bias process. If the layers conflict, the correct trade is no trade.

5.1 Step by step

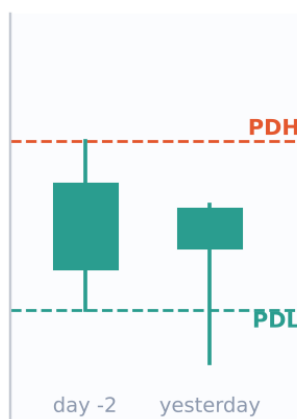
- **Weekly and daily draw on liquidity.** What is the nearest untouched pool or imbalance (PWH/PWL, PDH/PDL, equal highs/lows, unfilled daily FVG)? Which side is cleaner and closer?
- **Yesterday versus the day before.** Use the four cases below.
- **Premium or discount.** In the weekly or daily dealing range, is price expensive or cheap? Avoid buying deep in premium.
- **The open.** A bullish day should trade below the midnight or 08:30 open at some point (discount) before expanding.
- **Confirm.** SMT divergence between correlated markets, the economic calendar, and what the London session did.

Closed above PDH with displacement

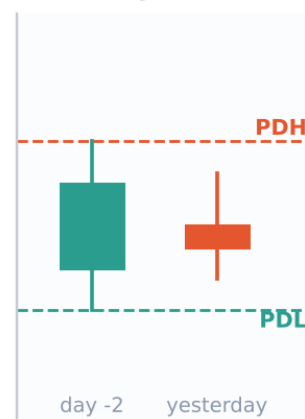
Bullish continuation: look for buys, target the next high

Swept PDH, closed back below it

Bearish: the sweep was the manipulation. Look for sells

Swept PDL, closed back above it

Bullish: stops below were grabbed, then reversal

Inside day

No bias yet. Wait for a sweep of one side, trade the other

Four daily scenarios against the previous day's high and low (PDH, PDL). These are starting reads, not guarantees.

Yesterday's behaviour	Typical read	Wait for
Closed above PDH with displacement	Bullish continuation toward the next high	A pullback into discount or an FVG; avoid fading it
Swept PDH, closed back below	Bearish: the sweep was the manipulation	A bearish MSS after the next high is tapped
Swept PDL, closed back above	Bullish: sell stops were taken	A bullish MSS from a kill zone
Inside day (no sweep)	No bias yet	A sweep of one side, then trade toward the other

5.2 Extra tools

- **SMT divergence:** correlated markets (ES, NQ, YM; or EURUSD, GBPUSD, DXY) disagree at a sweep. One takes the low or high; the other fails to. It is a hint that the move is exhausted.
- **IPDA data ranges:** the 20, 40 and 60 trading-day lookbacks. The highest high and lowest low in each window serve as larger targets and as the dealing range for premium/discount.
- **Weekly bias:** do the same exercise on the weekly chart. If the weekly and daily biases disagree, reduce size or stay out.
- **News filter:** know when CPI, NFP, FOMC and rate decisions hit. Do not carry a thesis through them without a plan.

5.3 Write the plan before the open

Example: "Weekly bias bullish, daily draw is the previous week high. Price is in discount. Wait for a sweep of the Asia low in London or NY AM, then an MSS with an FVG. Target the PDH. If price closes below Y, the bias is wrong." If you cannot write this in three sentences, you do not have a bias.

Score your bias

Bias skill is measurable. For 100 past days, write the bias before revealing the day and score it: did price reach the draw before taking the invalidation? Track the hit rate separately from your trade results. Good bias with bad entries and bad bias with good entries need different fixes.

Self-test

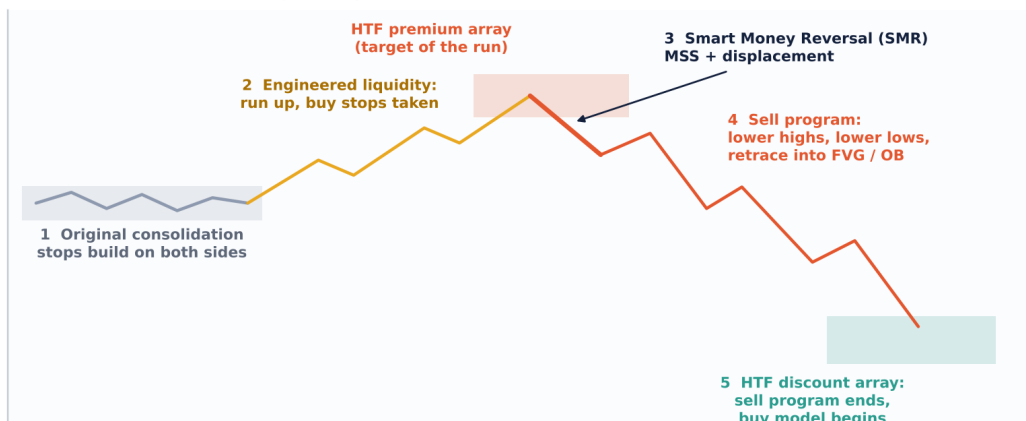
- Q5.1 Yesterday swept the previous day high and closed below it. What is the usual read?
- Q5.2 What do you do when weekly and daily bias disagree?
- Q5.3 What is a draw on liquidity?

6 MMXM: the market maker models

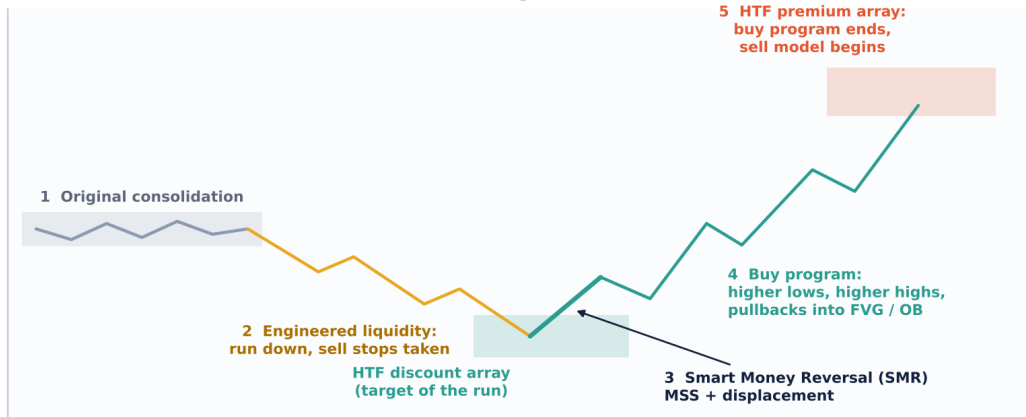
One full institutional cycle, across timeframes

MMXM (market maker buy and sell models) stretches the PO3 idea across several legs and higher timeframes. It describes one complete cycle: build positions, run price to take liquidity, reverse at a higher-timeframe level, deliver a sustained program, and finish at the opposite level.

Market Maker SELL model (MMSM)



Market Maker BUY model (MMBM): the mirror image



Illustrative schematic of the market maker sell model (top) and its mirror, the buy model (bottom).

The five phases (sell model)

#	Phase	What happens	What to look for
1	Original consolidation	Price ranges. Stops build on both sides.	A clear range with equal highs and lows
2	Engineered liquidity	Price runs up through buy-side liquidity into a higher-timeframe premium array.	A run into a daily or weekly level, not just a lower-timeframe high
3	Smart money reversal (SMR)	Displacement down with an MSS, usually leaving FVGs.	Strong candles through the last swing low
4	Sell program	Lower highs and lower lows. Each leg retraces into an FVG or order block.	Pullbacks into imbalances, not chasing the middle of legs
5	Completion	Price reaches a higher-timeframe discount array. The opposite (buy) model can begin.	Sell-side liquidity taken, then a bullish MSS

How to use it

- Use MMXM as a **map**: it tells you which phase you are in, not exactly when to click.
- If you identify the sell program, only take sells on pullbacks, and use the smaller-timeframe model (sweep, MSS, FVG) for the entry.
- When the program reaches the opposite higher-timeframe array, stop pressing and look for the turn.

The hard truth about MMXM

Every large trend looks like a perfect MMXM in hindsight. The real test is whether you can mark the original consolidation and the higher-timeframe target **before** price moves. Label 30 historical cycles in replay, and record how many you could have identified live, before the reversal. If the answer is few, treat MMXM as a vocabulary, not a signal.

Self-test

- Q6.1 Name the five phases of the sell model in order.
- Q6.2 Is MMXM an entry signal or a map? Explain.
- Q6.3 What marks the end of a sell program?

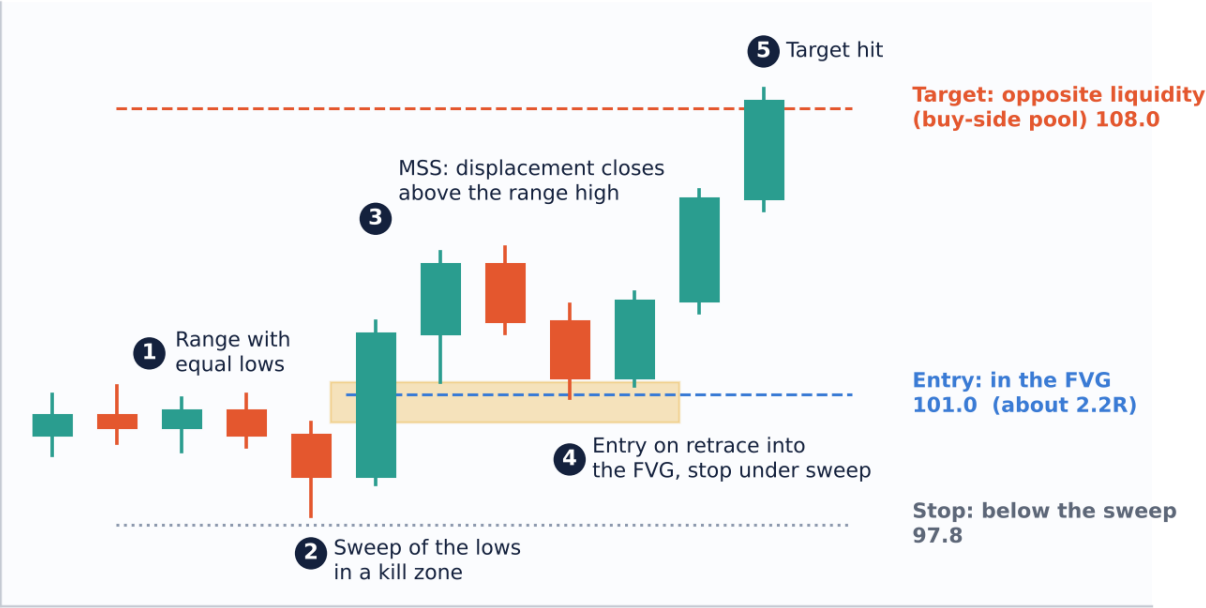
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One execution model

Turning all of it into a single repeatable trade

Concepts do not make money. A **rule-based model** does. Pick one and trade only it for three to six months. Below is a template that combines the previous chapters.

A complete model: bias, sweep, MSS, FVG entry, liquidity target



Illustrative schematic of the template model. Entry about 101.0, stop 97.8, target 108.0 (roughly 2.2 reward for 1 risk).

The template (long version; mirror for shorts)

Step	Rule	Evidence required
1 Bias	Higher-timeframe bias is bullish with a clear draw on liquidity above.	Written plan before the session
2 Window	Trade only inside one kill zone (for example NY AM, 07:00 - 10:00).	Timestamp in your journal
3 Sweep	Price takes sell-side liquidity (Asia low, equal lows, PDL) against the bias.	Wick or close back inside the level
4 MSS	Displacement closes above the last lower high. Imbalance (FVG) is left behind.	A visible FVG on your entry timeframe
5 Entry	Limit order inside the FVG (or at OTE / order block) on the retrace.	Defined price before entry
6 Stop	Beyond the swept low (or the swing that created the move).	Stop price and risk in dollars written first
7 Target	The opposite liquidity pool (PDH, session high, equal highs).	Minimum 2R to the target, or skip the trade

Trade management (decide before entry)

Question	Choose one rule and keep it for 100 trades
Partial profits?	For example, take 50% at 1R, run the rest to the target.
Move to breakeven?	For example, only after price closes beyond the first swing in your favour, not at a fixed number of pips.
Re-entry after stop?	At most one re-entry per setup, or none. Decide in advance.
Daily limit	Stop for the day after 2 losses or -2R, whichever comes first.
No-trade conditions	Major news in the next 30 minutes, conflicting weekly/daily bias, setup outside the window.

Common execution mistakes

- Entering at the sweep instead of waiting for the MSS and displacement.
- Moving the stop or target during the trade because it 'feels' different.
- Taking setups outside your window or bias because you are bored.
- Skipping the journal entry. Unrecorded trades cannot be learned from.

Self-test

- Q7.1 Why is the stop placed beyond the sweep rather than inside the FVG?
- Q7.2 Entry 101.0, stop 97.8, target 108.0: what is the reward-to-risk ratio?
- Q7.3 List three no-trade conditions from your own model.

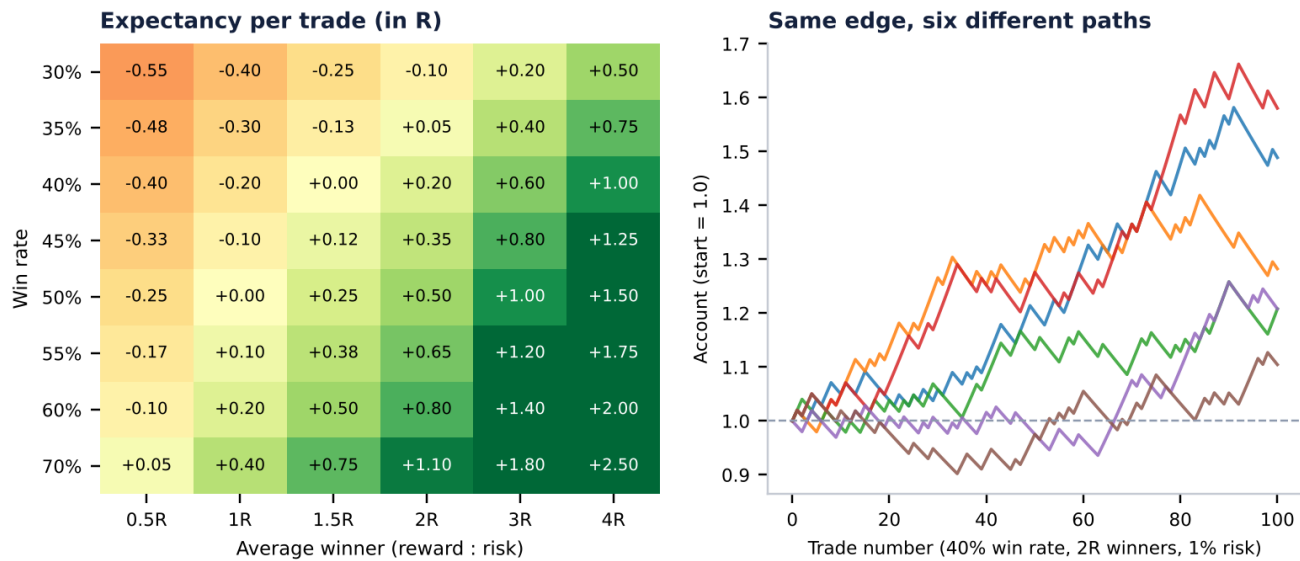
8 Risk, expectancy and psychology

What actually decides whether you survive

You can master every concept in this guide and still lose money. The difference between traders who last and traders who do not is **risk control** and **emotional discipline**.

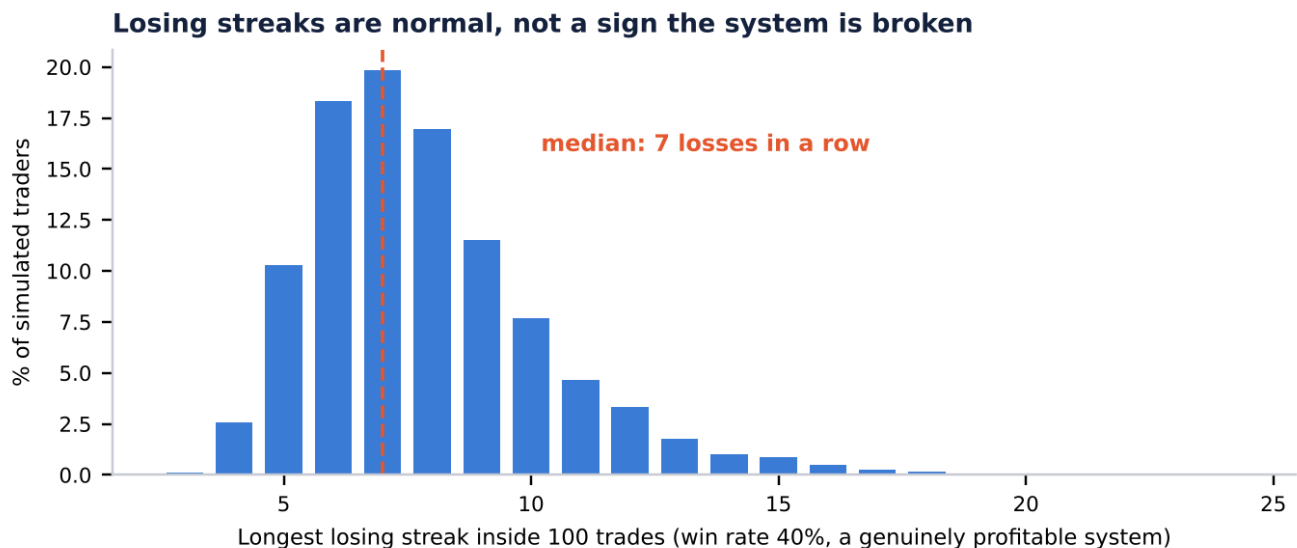
8.1 Expectancy

Expectancy per trade (in R) = (win rate x average winner in R) - (loss rate x 1R). A 40% win rate with 2R winners is profitable (+0.2R per trade). A 70% win rate with 0.5R winners is only marginally profitable (+0.05R). Win rate alone tells you nothing.



Left: expectancy for combinations of win rate and reward:risk. Right: six simulated paths of the same positive-expectancy system.

8.2 Losing streaks are normal



Simulation of 6,000 traders with a 40% win rate over 100 trades. Median longest losing streak is 7. Plan for it.

If your system has a 40% win rate, expect streaks of 6 to 9 losses in a row within 100 trades. If you risk 2% per trade, 7 losses is about -13%. Size your risk so a normal streak does not break you financially or emotionally.

8.3 Position sizing

Position size = (account x risk %) / (stop distance x value per point). Example: \$10,000 account, 1% risk = \$100. A 20-point stop on a micro contract worth \$2 per point costs \$40 per contract. \$100 / \$40 = 2.5, so trade 2 contracts (risk \$80). Never size from how confident you feel.

Risk rules

- Risk 0.25% to 1% of the account per trade while learning.
- Set a daily loss limit (for example -2R) and a weekly loss limit (for example -5R). When hit, stop and review.
- Never add to a loser. Never widen a stop after entry.
- If you take a prop firm evaluation, follow its drawdown rules as hard limits and treat the fee as a cost of learning.

8.4 Psychology

- Grade yourself on **process** (did I follow the rules?), not on the profit of one trade. A losing trade that followed the rules is a good trade.
- After a big win or a big loss, stop for the day. Both distort judgement.
- Revenge trading, overtrading, and moving stops are the three most common ways good analysts blow accounts.
- Fewer setups, better quality. One window and one model is enough.
- Sleep, exercise and routine matter more than another indicator.

Self-test

- Q8.1 Compute expectancy: 45% win rate, 1.5R average winner.
- Q8.2 Account \$5,000, risk 1%, stop 25 points, \$2 per point per contract. How many contracts?
- Q8.3 Why is a streak of 7 losses not evidence that a 40% win-rate system is broken?

9 The 14-week study plan

A concrete schedule with drills and finish lines

About 6 to 8 hours a week. Hours matter less than doing the drills in replay and keeping the journal.

Weeks	Focus	Drills	Done when
1 - 2	Liquidity and structure (Ch. 1)	Mark liquidity on 20 days; label 50 swing sequences and MSS	You find the same levels and MSS on a second pass a day later
3 - 4	Arrays (Ch. 2)	Mark FVG, OB and premium/discount on 50 charts; note which reacted	You can state a written rule for each array
5 - 6	Time (Ch. 3)	Mark quarters, sessions and the midnight open on 100 days; measure when the daily high/low forms	You have a table of your own timing statistics
7	PO3 (Ch. 4)	Score 100 days: which side was swept first and how the day closed	You know whether PO3 works on your market, with numbers
8 - 9	Daily bias (Ch. 5)	Write bias before revealing 100 days; score hit rate	Bias hit rate is measured and above a coin flip
10	MMXM (Ch. 6)	Label 30 cycles live in replay	You know how often you can see it before the reversal

Weeks	Focus	Drills	Done when
11 - 12	One model (Ch. 7)	Replay 50 trades with the template; screenshot each	Every trade has entry, stop, target and a journal entry
13	Backtest (below)	100-trade sample with full statistics	Expectancy, drawdown and streak are computed
14	Decide	Review; refine or cut rules; paper or tiny size	A written verdict: continue, change, or stop

Backtest protocol

- Write the rules down first. Every term must be measurable (what counts as a sweep? what counts as displacement?).
- Log **every** qualifying setup, including the ones you would have been tempted to skip. Cherry-picking ruins the result.
- Collect at least 100 trades. 20 trades proves nothing. 200 is better.
- Record entry, stop, target and result in R for each trade.
- Compute: win rate, average R, expectancy, maximum drawdown, and longest losing streak.
- Split the sample: build the rules on one period, then test unchanged on a later period. If the edge disappears, it was fitted.
- Check at least two market conditions (trending and ranging; high and low volatility).

Journal template

Field	Example
Date, market, session	2026-10-07, NQ, NY AM
HTF bias and draw	Bullish; draw = previous week high
Setup	Asia low sweep, MSS, FVG entry
Entry / stop / target	101.0 / 97.8 / 108.0
Risk (R and \$) and size	1R = \$100; 2 contracts
Result (R)	+2.2R (or -1R)
Rules followed? (yes / no, which broken)	Yes. Moved to breakeven early: no.
Emotion before / after	Calm / relieved
Screenshot and lesson	Link; entry was good, target could have been higher

Weekly review questions

- Which rule did I break most? What caused it?
- Which setups made money, which lost, and is the sample big enough to tell?
- Did my bias match what price did? Where was I overconfident?
- What one thing will I change next week?

When to go live

Only after you have a written model, a 100-plus-trade sample with positive expectancy, a maximum drawdown you can tolerate, and a month of paper or tiny-size trading where your results match the backtest. Scale slowly. If the numbers do not hold, change the model or the market, not your risk.

A**Checklists**

Print these and use them every day

Pre-session checklist

- Check the economic calendar for the next 8 hours. Any red-flag news?
- Mark PDH, PDL, PWH, PWL, Asia high/low, midnight open and equal highs/lows.
- Weekly bias and draw: _____ Daily bias and draw: _____ Do they agree?
- Where is price: premium or discount? Which side was swept recently?
- Write the plan in three sentences, including the invalidation level.
- Set the daily loss limit. Decide the number of trades allowed today.
- If layers conflict: write 'no trade' and close the chart.

Entry checklist

- Inside my window and in line with the bias?
- Sweep happened? Displacement and MSS confirmed?
- Entry zone (FVG, OB or OTE) identified, with a limit price?
- Stop beyond the sweep. Risk in dollars computed. Position size computed.
- Target is the opposite liquidity and at least 2R away?
- News within 30 minutes? If yes, skip.

Post-trade review

- Did I follow every rule? Which one did I break, if any?
- Was the bias correct? Was the entry good even if the trade lost?
- Screenshot and journal entry completed before the next trade.
- Emotional state: any urge to revenge trade? If yes, stop for the day.

B Glossary

Terms you will meet

Term	Meaning
AMD	Accumulation, manipulation, distribution; the same as PO3.
BOS	Break of structure in the direction of the trend (continuation).
BSL / SSL	Buy-side / sell-side liquidity: resting orders above highs / below lows.
Breaker	A failed order block that flips role after price closes through it.
Consequent encroachment	The 50% level inside an FVG.
Displacement	Strong, fast, directional price movement that often leaves imbalances.
Draw on liquidity	The pool or imbalance price is most likely heading toward.
Dealing range	The swing low to swing high used to measure premium and discount.
Equilibrium	The 50% midpoint of a dealing range.
FVG	Fair value gap: a three-candle imbalance where wicks of candles 1 and 3 do not overlap.
IPDA	Interbank Price Delivery Algorithm (ICT's term); in practice, the 20/40/60-day lookbacks.
Judas swing	The false move at a session open, against the true direction.
Kill zone	A time window with typically higher activity (London, NY AM, etc.).
Liquidity sweep	Price takes out a level to trigger stops, then reverses.
Macro	A short recurring time window (about 20 minutes) around the top of the hour, taught as an algorithm timing window.
Mean threshold	The 50% level of an order block.
MMXM	Market maker buy / sell model: the full multi-phase institutional cycle.
MSS	Market structure shift: displacement closing beyond the last opposing swing point.
OB	Order block: the last opposite-colour candle before a displacement move.
OTE	Optimal trade entry: the 62% to 79% retracement zone.
PD array	Premium / discount array: any reference level (FVG, OB, breaker, etc.) ranked by premium or discount.
PDH / PDL	Previous day high / low.
PO3	Power of three: accumulation, manipulation, distribution.
Premium / discount	Upper / lower half of the dealing range.
PWH / PWL	Previous week high / low.

Term	Meaning
R (R-multiple)	A result expressed in units of the initial risk. +2R = twice what you risked.
Silver Bullet	A one-hour FVG-entry model inside specific windows.
SMR	Smart money reversal: the reversal phase of the MMXM models.
SMT divergence	Correlated markets disagree at a high or low; one makes a new extreme, the other does not.
True day open	Reference open for the trading day, commonly midnight New York time.

C

Self-test answers

Check yourself after you attempt each question

Q	Answer
1.1	Traders place protective stops just beyond obvious highs and lows, so orders cluster there, and large participants can fill size against them.
1.2	A BOS breaks a swing point in the direction of the existing trend (continuation). An MSS is a displacement that breaks the last swing point against the prior trend (possible reversal).
1.3	It is a sweep if price closes back below. Wait for displacement and an MSS to confirm that it was a stop run and not the start of a breakout.
2.1	The high of candle 1 and the low of candle 3 (bullish case) bound the gap.
2.2	When price closes through the order block against its original direction (it failed), and the zone then acts from the other side.
2.3	Discount (below 50%). The OTE zone is the 62% to 79% retracement, i.e. between 21 and 38 on the 0 to 100 scale, so 25 is inside it.
3.1	Accumulation, manipulation, distribution, continuation/reversal. The manipulation quarter (Q2) is the false move.
3.2	03:00-04:00, 10:00-11:00 and 14:00-15:00 New York time.
3.3	Because it holds only a fraction of the time and varies by market. It needs to be measured on your own data before you rely on it.
4.1	Down (a sweep below the range or the open) before the real move up.
4.2	Without a bias you cannot tell whether a move away from the open is the false move or the true direction.
4.3	Displacement back through the range that breaks structure (an MSS), preferably leaving an FVG.
5.1	Bearish: the sweep was the manipulation. Look for sells after the next high is tapped and an MSS appears.
5.2	Reduce size or stay out. Conflicting layers are a no-trade.
5.3	The pool of resting orders or the imbalance price is most likely to move toward next.
6.1	Original consolidation, engineered liquidity, smart money reversal, sell program, completion at a higher-timeframe discount array.

Q	Answer
6.2	A map. It shows which phase you are in. The entry still comes from a smaller-timeframe model.
6.3	Price reaching a higher-timeframe discount array and taking sell-side liquidity, followed by a bullish MSS.
7.1	The sweep low marks where the idea is wrong. A stop inside the FVG sits in the noise zone and is more likely to be hit before the thesis fails.
7.2	Risk 3.2, reward 7.0: $7.0 / 3.2 =$ about 2.2 R.
7.3	Examples: news within 30 minutes, conflicting weekly and daily bias, setup outside the window, daily loss limit hit.
8.1	$0.45 \times 1.5 - 0.55 \times 1 = 0.675 - 0.55 = +0.125R$ per trade.
8.2	Risk \$50. Stop cost = $25 \times \$2 = \50 per contract. $\$50 / \$50 = 1$ contract.
8.3	With a 60% loss rate, long losing streaks occur naturally. Judge the system by a large sample, not by a streak.

Limits and disclaimer

Read before you risk any money

This guide is education, not advice. Nothing here is a recommendation to buy or sell anything. Trading leveraged instruments (futures, forex, CFDs) carries a high risk of loss, and most retail traders lose money.

- The chart illustrations are **hand-drawn schematics** made to explain ideas. They are not real market data and are not evidence the method works.
- ICT concepts come from public teaching by Michael Huddleston and later interpretations by others. Definitions vary. This guide gives one common reading of each.
- Time windows, bias rules and cycle models are **hypotheses to test**, not guarantees. Past patterns do not predict future results.
- The simulations in Chapter 8 use random numbers to illustrate variance. They are not predictions for any real strategy.
- Do not pay for 'signals' or 'mentorships' that promise results. If you invest in education, check independent evidence first.
- Trade small, keep a journal, and let your own data decide what stays in your plan.

The shortest summary of the whole guide

Find the liquidity. Know the time. Decide the bias. Wait for the sweep and the shift. Enter with a defined stop and a target. Risk little. Record everything. Let the data, not the story, decide what you keep.